25901217 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Elective (DSE) - MG4DSEECO203 - ECONOMICS OF INNOVATION AND ENTREPRENEURSHIP

(2024 ADMISSION ONWARDS)

Duration: 2 hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. Marketing innovation typically involves changes in: [U] / [CO1]

   a). Production equipment or workflows

   b). Product design, packaging, promotion, pricing, or distribution channels

   c). Employee training programs

   d). Supply chain partnerships

2. An entrepreneur who motivates employees and builds a strong team is fulfilling the role of: [U] / [CO1]

   a). Innovator

   b). Leader and organiser

   c). Passive investor

   d). Risk avoider

3. Which of the following is NOT a component of the Business Model Canvas? [E] / [CO4]

   a). a) Value proposition

   b). b) Customer segments

c). c) Market share d). d) Key partners

4. Launching a new version of an existing product is called: [U] / [CO4]

a). Market Expansion b). Product Development

c). Scaling d). Advertising

5. A business plan is important in startup ventures because: [A] / [CO6]

a). It guarantees instant success b). It helps attract investors and guides operations

c). It eliminates financial risk completely d). It avoids risk and innovation

6. Innovation has strong prospects in the current economic scenario because it creates new opportunities but also involves risks. Why is balancing both important? [U] / [CO1]

a).It helps firms avoid using new technology b).It ensures innovation leads to growth while reducing chances of failure

c).It increases only short-term profits d).It eliminates all market competition

7. Small business entrepreneurship is characterized by: [K] / [CO1]

a). Large multinational corporations b). Government-funded projects only

c). Avoidance of risk d). Local operations, limited growth, and family-run businesses

8. Feedback is important in innovation because it [U] / [CO4]

a). Stops creativity b). Improves the idea

c). Increases risk d). Wastes time

9. Idea screening mainly helps to: [U] / [CO4]

a). Increase production b). Eliminate unfeasible ideas

c). Promote products d). Reduce price

10. The need for ideation in innovation arises mainly to: [U] / [CO4]

a).Reduce competition in the market

b).Identify opportunities and solve problems creatively

c). Eliminate risk completely

d). Follow traditional business models

[1x10 = 10]

Part B

Short Answer Questions

Answer any **10** questions

Each question carries **3** marks

11. Define loan appraisal and examine its importance for financial institutions. [U] / [CO3]

12. Explain the purpose of using case studies to understand student entrepreneurship. [E] / [CO5]

13. What is meant by market demand assessment? [U] / [CO4]

14. Classify the key elements of an action plan for innovative culture. [U] / [CO6]

15. Compare self-financing and consortium finance in terms of risk and control.in Innovation or start ups [An] / [CO3]

16. Coca-Cola has kept its exact formula secret since 1886. Which type of Intellectual Property Right (IPR) is being used in this case? Explain why this type of IPR is suitable for protecting Coca-Cola's formula. [An] / [CO2]

17. Identify three essential skills required for launching a new venture and briefly explain their importance. [A] / [CO1]

18. During a financial crisis, a small business cannot reduce costs without affecting quality. Suggest how out-of-the-box thinking could help. [A] / [CO4]

19. Differentiate between traditional innovation and social innovation. [U] / [CO4]

20. In the present situation of widespread copying and imitation of products, designs, and creative content (e.g., fake branded goods, pirated software/movies, copied traditional designs, and imitation herbal products in markets across India), analyse the importance of Intellectual Property Rights (IPR) for creators, businesses, and the economy. [An] / [CO2]

21. Explain the process of patent registration in India. [U] / [CO3]

22. Justify how opportunity recognition supports entrepreneurship. [E] / [CO1]

23. Evaluate the role of Innovation in the success of a startup. [E] / [CO6]

[3x10 = 30]

Part C

Short Essay Questions

Answer any **5** questions

Each question carries **6** marks

24. Illustrate the challenges in measuring social innovation success. [A] / [CO4]

25. Evaluate why India needs greater innovation to overcome current economic and social challenges, with examples from key sectors. [E] / [CO1]

26. Discuss the four types of innovation from the Oslo Manual framework (product, process, organizational, marketing). Explain how firms can benefit from combining them. [U] / [CO1]

27. Analyse the corporation form of ownership, highlighting is merits and demerits. [An] / [CO6]

28. Analyse the role of student entrepreneurs in promoting economic and social development. [An] / [CO5]

29. Evaluate the meaning and importance of a project report. Describe the contents of a Detailed Project Report. [E] / [CO4]

30. Illustrate the major risks faced by innovative ventures in a competitive market. [A] / [CO4]

[6x5 = 30]